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Developed Markets
North America

North America Rates Trade Idea

Alert: Taking profits on GBP 15y10y/25y10y flatteners

- Back in January, we entered 50K DV01 of GBP 15y10y/25y10y flatteners, delta-hedged at each 25bp move in the 25y10y rate (see Rates Vol Lab - In search of cheap vol for details, including the 12-month history). We were motivated by the steepness of the curve, positive convexity, and attractive carry. The curve has flattened recently, driven by an aggressive QE, but we see a risk of re-steepening on supply. We therefore prefer to close the trade at this time for a profit of GBP 445K, net transaction costs (about 115K from the curve move and 330K from convexity; pricing as of 2pm on 3/26/2020).

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